

# Average Directional Index (ADX)

Indicators & Analysis / Trend | intermediate | 4 min read | DeepCharts Help Center | July 20, 2026

The Average Directional Index (ADX) is a technical analysis indicator used to measure the strength of a trend in an asset's price. Crucially, it measures strength only — a rising ADX tells you the market is trending, not which way.

That makes it one of the most useful filters in a trend trader's toolkit: it answers the question every trend-following strategy needs answered first — is there actually a trend to follow, or is the market moving sideways?

## What it is

ADX plots in its own panel below the price chart. Alongside the main ADX line, the indicator includes the two directional lines it is derived from: the **Plus Directional Indicator (+DI)** and the **Minus Directional Indicator (−DI)**. The +DI line tracks upward directional movement, the −DI line tracks downward directional movement, and the ADX line smooths the difference between them into a single trend-strength reading.

The result: direction comes from which DI line is on top, and conviction comes from the height of the ADX line.

## When to use it

- As a regime filter: take trend-following signals only when ADX confirms a trending market, and stand aside (or switch to range tactics) when it does not.
- To confirm breakouts: a breakout accompanied by a rising ADX has directional strength behind it; one with a flat ADX is more likely to fail.
- To read directional bias from the **+DI/−DI** crossovers.
- To detect a maturing trend: an ADX that rolls over from a high reading warns that trend strength is fading.

## Quick start

1. Open a chart and click the bar-chart icon in the top-left corner to open the **Indicators** panel.
2. Click **Indicators** to open the full **Indicator List**.
3. Search for "Average Directional Index" and click **+** to add it — it opens in its own chart area under the price panel.
4. Click the gear icon next to the indicator to open its settings.

The default **Period** of 14 is the standard configuration and a sensible starting point on any timeframe. Give the ADX line and the two DI lines clearly distinct colors so crossovers read instantly.

[ SCREENSHOT PLACEHOLDER ] A price chart with the ADX indicator in a lower panel showing three lines — the ADX line rising during a trending move, with +DI above −DI — while the price panel above shows the corresponding uptrend  
adx-on-chart.png

## How to read it

- **ADX line height = trend strength.** By common convention, readings above roughly 25 indicate a trending market and readings below roughly 20 indicate a weak or sideways market; the zone between is ambiguous. These thresholds are conventions, not rules — calibrate them to your instrument and timeframe.
- **ADX direction matters more than its level.** A rising ADX means the trend is strengthening; a falling ADX means it is weakening — even if price is still drifting in the trend direction.

- **ADX is direction-agnostic.** A strong downtrend produces a high ADX exactly like a strong uptrend. Read direction from the DI lines or from price itself.
- **DI crossovers:** +DI crossing above –DI signals bullish directional movement taking over; –DI crossing above +DI signals the bearish side. Crossovers are most meaningful when ADX is elevated or rising.

## Settings reference

### Parameters

| Setting | What it does                                                                                                                                                                                    |
|---------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Period  | The period used for the ADX calculation. Default: 14. Shorter periods make the indicator react faster but whipsaw more; longer periods smooth the reading for higher-timeframe regime analysis. |

### Subgraphs

| Setting        | What it does                                         |
|----------------|------------------------------------------------------|
| Line Color     | Color of the main ADX line.                          |
| Line Style     | Style of the ADX line (solid, dashed).               |
| Line Width     | Thickness of the ADX line.                           |
| Plus DI Color  | Color of the Plus Directional Indicator (+DI) line.  |
| Minus DI Color | Color of the Minus Directional Indicator (–DI) line. |

[ SCREENSHOT PLACEHOLDER ] The ADX settings dialog showing the Period parameter set to 14 and the subgraph options for Line Color, Line Style, Line Width, Plus DI Color and Minus DI Color `adx-settings.png`

## Tips and common mistakes

- **The most common mistake: reading ADX as direction.** A falling ADX during an uptrend does not mean "sell" — it means the trend is losing strength. Direction always comes from the DI lines or price structure.
- **ADX lags by design.** It is a smoothed derivative of smoothed inputs, so it confirms trends rather than predicting them. Use it to qualify signals from faster tools, not to generate entries on its own.
- **Low ADX is information, not absence of information.** A prolonged low-ADX stretch marks a range — the environment where mean-reversion tools like RSI work best and breakout entries fail most often.
- Pair it with the Donchian Channel or Super Trend: the channel or trend line supplies the entry logic, ADX supplies the "is it worth taking" filter.

## Related articles

- Aroon Up/Down
- Aroon Oscillator
- Super Trend
- Donchian Channel
- Different Types of Input Data for Indicators
- How to Change the Layout of Indicators